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Ministry of Education - Ethiopia

Ministry of Education

Friday

Exit Exam 2016 Yekatit

Accounting and Finance

Final Exit Exam With Answers

Feb 2016 E.C

1) Which of the following statements about an account is true?

- a. To say debit or credit for increases and decreases depends on specific asset, liability, or equity items
- b. The left side of an account is the credit or decrease side
- c. The right side of an account is the debit or increase side.
- d. There are separate accounts for specific assets but only one account for liabilities.

A

2) One of the following is not the characteristics of Government Business Enterprise within the meaning of IPSASs.

- A. It is reliant on continuing government funding to be a going concern
- B. it has been assigned the financial and operational authority to carry on a business
- C. it sells goods and services, in the normal course of its business, to other entities at profit full cost recovery
- D. is an entity with the power to contract in its own name

A

The definition of GBEs requires that the entity is not reliant on “continuing government funding” to be a going concern (continuing government funding excludes purchases of outputs at arm’s length).

3) An approach, plant assets whose fair value can be measured reliably are carried after acquisition at their fair value less any subsequent accumulated depreciation and any subsequent impairment losses, this measurement method is

Measurement subsequent to initial recognition

IAS 16 permits two accounting models:

- A. Fair value model

Cost model. The asset is carried at cost less accumulated depreciation and impairment. [IAS 16.30]

- B. Revaluation model

Revaluation model. The asset is carried at a revalued amount, being its fair value at the date of revaluation less subsequent depreciation and impairment, provided that fair value can be measured reliably. [IAS 16.31]

- C. Cost model

The revaluation model

Under the revaluation model, revaluations should be carried out regularly, so that the carrying amount of an asset does not differ materially from its fair value at the balance sheet date. [IAS 16.31]

- D. Carrying amount

B

4) In consolidated financial statements "group" refers to:

- a. Subsidiary not controlled by parent
- b. Holding company
- C. Parent and its subsidiaries
- d. Portion of parent's ownership

C

5) Which of the following options correctly describes the meaning of flexible budget variance?

- A) It is the difference between the static budget amount and the flexible budgeted amount
- B) It is the difference between total standard costs and total actual cost for the units produced
- C) It is the difference between an actual result and the corresponding flexible-budget amount
- D) It is the difference between the actual result and the corresponding budgeted amount in the static budget

C

FBV= Actual Vs Budget

SBV= Actual Vs Budget

SVV= FB Vs Budget

6) Dimension in activity based management which provides cost information about resources, activities, and cost objects of interests such as products, customers, suppliers, and distribution channels is called

- a. Object dimension
- b. Process dimension
- c Activity dimension
- d. Cost dimension

Activity-based management (ABM) is a means of analyzing a company's profitability by looking at each aspect of its business to determine strengths and weaknesses. ABM is used to help management find out which areas of the business are losing money so that they can be improved or cut altogether.

The two dimensions are the **cost dimension** and the **process dimension**.

The **cost dimension** is concerned with accurate assignment of costs to cost objects, such as products and customers. Activity-based costing is the focus of this dimension.

The second dimension—**the process dimension**—provides information about why work is done and how well it is done. It is concerned with cost driver analysis, activity analysis, and performance measurement.

7) According to International Financial Reporting Standard (IFRS) 15, the revenue recognition principle states that

- a. The fiscal year should correspond with the calendar year
- b. Expenses should be matched with revenues
- c. The economic life of a business can be divided into artificial time periods
- d. Revenue should be recognized when a performance obligation is satisfied

This core principle is delivered in a five-step model framework: [IFRS 15:IN7]

- Identify the contract(s) with a customer
- Identify the performance obligations in the contract
- Determine the transaction price
- Allocate the transaction price to the performance obligations in the contract
- Recognized revenue when (or as) the entity satisfies a performance obligation.

D

8) Assume Mr Solomon is an employee of ABC company, in computing payroll of employees his income after all deductions have been made is birr 9,725. This amount express as

- a Gross earning

- b. Allowance

- c. Net pay

- d. Overtime earning

C

9) Which one is the correct match from the alternatives below?

- A. Tax auditors – Operational audit
- B. External auditors - Financial statement audit
- C. Internal auditors - Examination of tax payers return
- D. Internal auditors - Financial statement audit

B

10) Sweet Company's unadjusted trial balance includes Accounts Receivable of Birr 647,000. Also, the year-end balance of allowance for doubtful account based on an aging schedule of accounts receivable shows Birr 115,950. What amount of bad debt expense should Sweet Company report for the year. assuming that the allowance account had a debit balance of Birr 15,800 before adjustment?

- A. Birr 115,950

- B. Birr 134,750

B

- C. Zero

- D. Birr 100,150

AFDA = 15,800 Debit Balance

Uncollectable amount for year 115,950

Total Bad debt Expense = $115950 + 15800 = 134750$

11) Which feature is not typical to for-profit businesses?

- a. Operating purposes that are other than to provide goods or services at a profit or profit equivalent
- b. Fund providers expect economic return from the fund they provide
- c. They not operate in a competitive market place
- d. There is a defined ownership interest that entitles owners to a share of residual distributions

C

•**a. Operating purposes that are other than to provide goods or services at a profit or profit equivalent:** While profit is the primary goal, for-profit businesses can also have secondary objectives like social responsibility or environmental sustainability. They can still aim to make a profit while fulfilling these secondary goals.

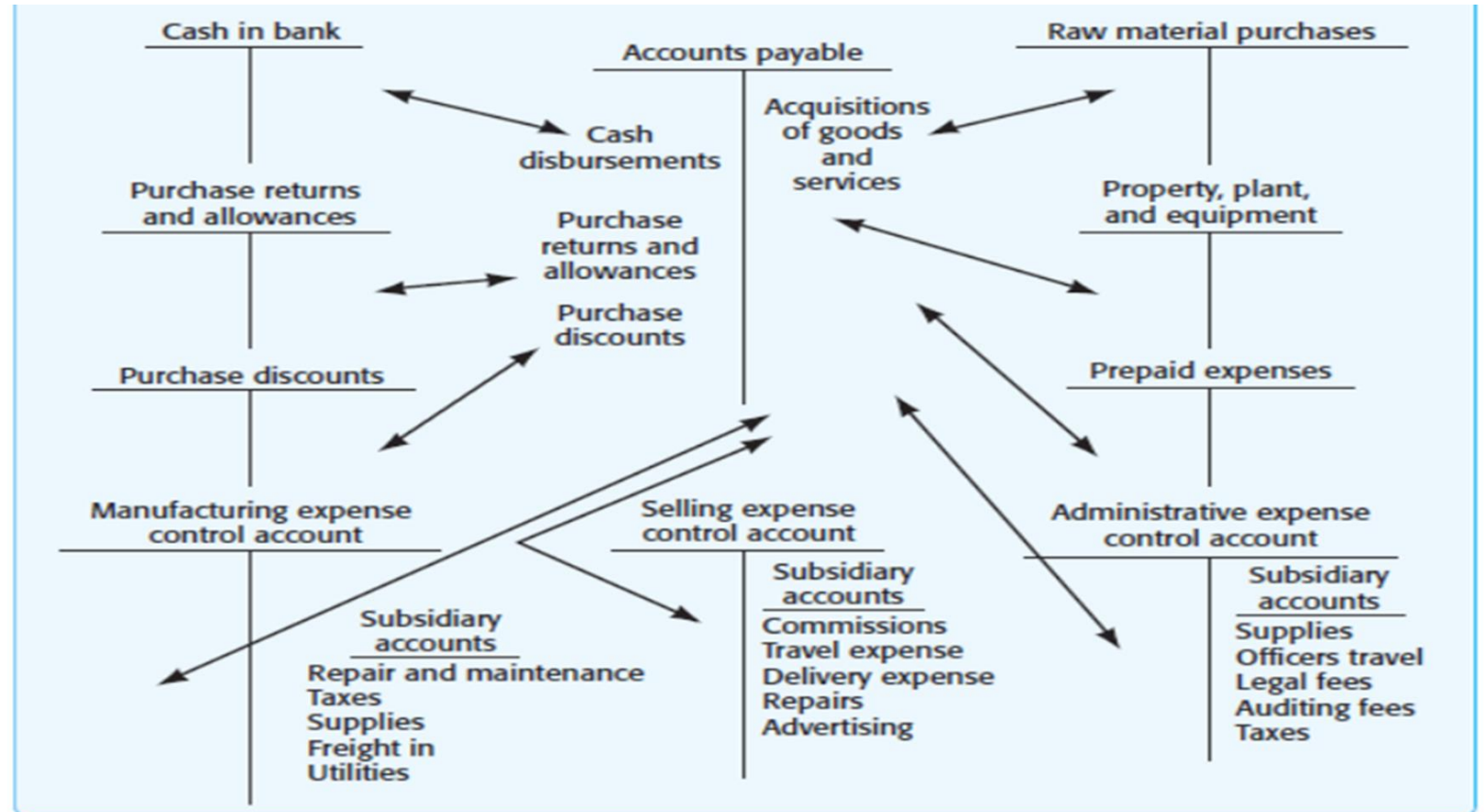
•**b. Fund providers expect economic return from the fund they provide:** This is a core feature. Investors, shareholders, or lenders in a for-profit business expect a return on their investment in the form of dividends, stock appreciation, or interest.

•**d. There is a defined ownership interest that entitles owners to a share of residual distributions:** This refers to profits. Owners have a stake in the business and are entitled to a portion of the profits that remain after expenses are paid.

12) Which of the following accounts is not the part of the acquisition and payment cycle?

- A. Property, plant, and equipment
- B. Sales returns and allowances
- C. Accounts payable
- D. Prepaid expenses

B



13) From the following one is not objectives of public enterprises.

- A. To ensure balanced regional development
- B. To prevent the growth of monopoly
- C. To channelize resources
- D. To increase inequalities in income distribution

•**A. To ensure balanced regional development:** This is a common objective of public enterprises. They can invest in underdeveloped regions to create jobs and boost economic activity.

D

•**B. To prevent the growth of monopoly:** Public enterprises can act as competitors in key industries to prevent monopolies from forming and controlling prices.

•**C. To channelize resources:** Public enterprises can be used to direct resources towards specific goals, like infrastructure development or social welfare programs.

•**D. To increase inequalities in income distribution:** Public enterprises typically aim for the opposite, promoting policies that reduce income inequality and provide essential services at affordable prices.

14) The allocation base should result in more costs being allocated to the cost objectives that benefit most from incurring the cost, which allocation criteria the accountants use in this aspect?

- A. Relative benefits
- B. Ability to bear costs
- C. Equity
- D. Cost objective

A

•**B. Ability to bear costs:** This approach allocates costs based on a cost object's capacity to absorb costs, regardless of the benefit it receives. It might not accurately reflect the true cost driver.

•**C. Equity:** This aims for a fair and equal distribution of costs across cost objects, even if some benefit more than others. While fairness is a consideration, it doesn't directly tie cost allocation to benefit received.

•**D. Cost objective:** This refers to the item for which you're calculating the cost, not a specific allocation criteria.

15) Assume XYZ Ltd is a manufacturer of cotton yarn. It has 40% debt and 60% equity in its capital structure. The firm's estimated after-tax cost of debt is 7% and its estimated cost of equity is 12%. How much will be the firm's weighted average cost of capital (WACC)?

- A. 9%
- B. 12%
- C. 10%
- D. 11%

C

$$\begin{aligned} \text{WACC} &= W_D * K_d + W_E * K_E \\ &= 0.4 * 0.07 + 0.6 * 0.12 = 0.1 \end{aligned}$$

16) Which of the following indicates when the producer shifts the tax burden to the factors of production (the supplier of raw material)?

- A) Forward shifting
 - **Forward shifting** refers to the producer raising the price of the final good or service to consumers to compensate for the tax burden.
- B) Tax incidence
 - **Backward shifting** describes the situation where the producer reduces the cost paid to a factor of production (like the supplier of raw materials) to absorb some of the tax burden.
- C) Backward shifting
 - **Tax incidence** refers to who ultimately bears the cost of the tax,
- D) Tax impact
 - **Tax impact** refers to the immediate impact of the tax on the party initially responsible for paying it

C

17) When a person with primary responsibility for reconciling the bank account and making all bank deposits is also the company's accountant, which one of The following control activities is violated?

A) Physical controls

B) Segregation of duties

B

C) Independent internal verification

D) Documentation procedures

18) Which of the following describes how fixed costs in total and per unit behave with changes in the level of Quantity, cost

B

- A) Remain the same per unit at every activity level
- B) Remain the same in total but vary on a per unit basis as the level of activity changes
- C) Vary in total directly and proportionately with changes in the activity level.
- D) Remain the same in total dollar amount as the level of activity changes

19) How much will be the return on common equity (ROE) if a company has birr 20 billion of sales, Birr 1 billion of net income, and total asset of Birr 10 billion. The company's total assets equal total invested capital, and its capital consists of half debt and half common equity

- A) 20%

ROE = NI/Total Equity

Total Capital = Total Asset = 10B

Its half Equity 5B and half debt 5B

$$\text{ROE} = 1\text{B}/5\text{B} = 0.2$$

- B) 35%

A

- C) 10%

- D) 5%

20) State an internal impairment indicator from the given alternatives.

- A) Changes in market interest rates
- B) Obsolescence of a physical asset
- C) Decline in asset's market value.
- D) Changes in legal environment

Internal Indicators:

- **Obsolescence or physical damage:** This includes outdated technology, machinery malfunction, or deterioration due to wear and tear.
- **Significant changes (expected or occurred) impacting the asset's use:** Examples include discontinued operations, asset idling, or a reassessment of the asset's useful life.
- **Internal reports indicating worse-than-expected performance:** This could be lower-than-budgeted cash flows, operating losses, or declining net cash flow projections for the asset.
- **Evidence that the economic performance of the asset is, or will be, worse than expected:** This might involve declining demand for the product the asset produces, changes in market prices of similar assets, or negative customer feedback.

B

External Indicators:

- **Adverse changes in the legal or regulatory environment:** New regulations might restrict the use of the asset or make it obsolete.
- **Significant decline in the market value of similar assets:** If the market price of comparable assets drops, it suggests the carrying value of your asset might also be too high.
- **Technological advancements rendering the asset obsolete:** The emergence of new, superior technology can significantly reduce the value of existing assets.
- **Increased interest rates:** Higher interest rates can make the future cash flows of the asset less valuable, potentially leading to impairment.
- **Financial difficulties of the company:** If the company itself is facing financial problems, it might cast doubt on the recoverability of the asset's future cash flows.

21) IAS 12 requires an entity to recognize any unpaid tax in respect of the current or prior periods as

- A) An asset
 - B) An income
 - C) An equity
 - D) A liability
- D**
- **A) An asset:** This would only be the case if the company has already paid more tax than what is currently due (prepaid tax).
 - **B) An income:** Income refers to revenue earned during the accounting period. Unpaid taxes are a company's obligation, not income.
 - **C) An equity:** Equity represents the owners' claims on the company's assets. Unpaid taxes are a debt owed to the government, not a claim by owners.

22) All of the following are objective of cost accounting, except:

- A) Ascertainment of Cost
- B) Cost Control and Cost reduction
- C) Determination of Selling Price
- D) Assisting Shareholders in decision making

•**A) Ascertainment of Cost:** This is a fundamental objective. Cost accounting helps determine the cost of producing goods or services, which is essential for various purposes.

D

•**B) Cost Control and Cost Reduction:** Cost accounting helps identify areas where costs can be controlled or reduced, improving profitability.

•**C) Determination of Selling Price:** Knowing the cost of production is crucial for setting appropriate selling prices that ensure profitability.

23) Which one of the following institution is non depository institution?

- A) Commercial banks
- B) Saving and loan associations
- C) Investment banks
- D) Credit unions

C

24) One of the following is not the common activity of public finance and private finance?

- A) Borrowing
- B) Adjustment of income and expenditure
- C) Satisfaction of human want
- D) Right to print currency

D

•**A) Borrowing:** Both public and private entities can borrow money to finance their activities. Governments borrow through issuing bonds, while companies might get loans from banks or issue bonds.

•**B) Adjustment of income and expenditure:** Public entities manage their budgets through taxes and spending, while private entities adjust their income and expenses through revenue generation and cost management.

•**C) Satisfaction of human wants:** Ultimately, both public and private finance serve to fulfill human needs and desires. Public finance provides essential services and infrastructure, while private finance helps businesses function and individuals manage their financial well-being.

25) Auditors are expected to do the audit task with due care and diligence. If they fail to uncover a misstatement, damages and losses can occur. Select the correct statement related to the level of seriousness of a misstatement

- A) A misstatement caused by error is more serious than one caused by irregularity.
 - B) A large misstatement is more serious than a small one.
 - C) A small misstatement is more serious than a large one,
 - D) A misstatement caused by mistake is more serious than one caused by irregularity.
- The primary purpose of an audit is to ensure the financial statements are fairly presented. Material misstatements, regardless of cause (error or irregularity), can mislead users and impact their decisions.
- A larger misstatement has a greater potential to distort the financial picture and influence decision-making by stakeholders like investors or creditors.
- While the cause of the misstatement can be a factor:**
- Errors:** These are unintentional mistakes, and auditors may be less liable if they can demonstrate reasonable care was exercised.
- Irregularities:** These are intentional misstatements like fraud or embezzlement, and auditors are expected to apply more rigorous procedures to detect them.

B

26) By examining the contents of an insurance contract, select the party that has a right to compensation if an insured event occurs

A) Insurer

B) Policyholder

B

C) Reinsurer

D) Issuer

27) A document prepared to initiate shipment of the goods sold by an independent shipper is the

A) Customer order.

B) Sales invoice

C) Bill of lading

D) Sales order

•**A) Customer order:** This is a document initiated by the customer indicating their desire to purchase goods.

•**B) Sales invoice:** This is a document issued by the seller to the customer detailing the products or services sold, their quantities, and the amount owed. It typically comes after the shipment is initiated.

•**D) Sales order:** Similar to a customer order, this is a document used internally by the seller to process and fulfill a customer's request.

The bill of lading acts as a receipt for the goods being shipped and a contract between the shipper, the seller, and the buyer. It outlines details like the type and quantity of goods, origin and destination, and any special handling instructions.

28) The issuance of bonds to provide resources to construct a new courthouse should be recorded in a Capital Projects Fund by crediting which of the following accounts?

- A) Bonds payable
- B) Other financing source long-term debt issued
- C) Fund balance
- D) Revenues-bands

B

29) A place where buyers and sellers of securities (or their agents or brokers) meet in one central location to conduct traders is

- A) Organized exchange market

A

- B) Security dealers market

•**B) Security dealers market:** This refers to the over-the-counter (OTC) market, a decentralized network where trades happen directly between counterparties.

- C) Foreign exchange market

•**C) Foreign exchange market:** While there are major foreign exchange trading centers, the foreign exchange market itself is not a centralized exchange. It's a global network of electronic transactions.

- D) Over the counter market

•**D) Over the counter market (OTC market):** As mentioned earlier, this is a decentralized marketplace.

Organized exchanges, like the New York Stock Exchange (NYSE) or ESX , provide a structured platform for trading standardized securities. They bring together buyers and sellers, ensure fair and orderly trading, and establish rules and regulations for member participants.

30) There was scope restriction during an audit engagement. The auditor has recognized that the matter compromises the fairness of the financial statements. Decide which type of audit opinion the auditor should issue in such situation.

- A) Disclaimer of opinion
- B) Qualified opinion
- C) Unqualified opinion
- D) Adverse opinion

A

Scope restriction, it means something limited the auditor's ability to perform all the necessary procedures. This limitation could come from:

Management: Maybe the company wouldn't allow the auditor to access certain records or information.

Circumstances: Events like fires, floods, or legal restrictions might make some records unavailable.

31) Which one of the following document is used by auditors to identify policies in force related to prepaid insurance accounts ?

- A) Cash payment journal
 - B) Payroll register
 - C) Insurance register
 - D) Acquisition journal
- **Cash payment journal:** This records all cash payments made by the company, which might include insurance premiums but wouldn't necessarily show details of the policies themselves.
- **Payroll register:** This tracks employee payroll information and wouldn't be relevant to insurance policies.
- **Acquisition journal:** This focuses on recording the acquisition of assets, not ongoing expenses like prepaid insurance.
- **Insurance register:** This document specifically captures details of insurance policies held by the company, including start dates, coverage amounts, and expiration dates. This information is crucial for auditors to assess the prepaid insurance balance and ensure its accuracy in the financial statements.

32) Which of the following indicates an increase in asset or decrease in liability that results in increases in equity, other than those relating for contribution from holders of equity claims?

- A) Equity
- B) Asset
- C) Income
- D) Contribution

C

•**Equity:** This represents the owners' claim on the company's assets and reflects the total value of their investment. It can increase through contributions from owners but also through income generation.

•**Asset:** An increase in assets wouldn't directly cause an increase in equity. It depends on how the asset was acquired. If it was through a loan (liability), equity wouldn't increase.

•**Income:** This refers to the revenue earned by a company in excess of its expenses. It directly increases the equity of the company without any additional investment from owners.

•**Contribution:** This refers to additional capital invested by owners, which would directly increase equity.

33) The business that the acquirer obtains control of in a business combination is called

- A) Acquisition
- B) Acquirer
- C) Acquiree
- D) Combiner

C

• **Acquirer:** This is the company that takes control of another business.

• **Acquisition:** This refers to the entire process of one company buying another.

• **Combiner:** This isn't a standard term in mergers and acquisitions.

• **Acquiree:** This is the company that is being acquired and loses control in the business combination.

34) The following items explain unique characteristics of biological assets, except:

- A) Great deal of increase in value resulting from the input of goods.
 - B) Natural capacity to grow or procreate poses an impact on value.
 - C) Generally, short production or growing cycle of assets.
 - D) Many costs early in the life, economic benefits until many years later.
- C**
- ☐ The natural capacity of biological assets to grow and/or procreate that has a direct impact on the value of assets;
 - ☐ A great deal of increase in value of biological assets resulting from the input of free goods such as sun, air and water;
 - ☐ The many of the costs are incurred early in the life of assets, yet the economic benefits are not derived until many years later;
 - ☐ The long production (growing cycle) of assets, which having a direct impact on the issue when to recognize the revenue from these assets; and
 - ☐ There is not necessarily any relationship between the expenditure on the asset and their ultimate benefits due to unforeseen circumstances such as droughts, floods, variations in qualities of soil and so on.

35) On January 1, 2021, P Corporation purchased a new snow-grooming machine for birr 50,000. The machine is estimated to have a 10-year life with a birr 2,000 residual value. What is the amount of depreciation expense of the first year, if it uses the straight-line method of depreciation?

- A) 4,800
- B) 4,500
- C) 5,200
- D) 5,000

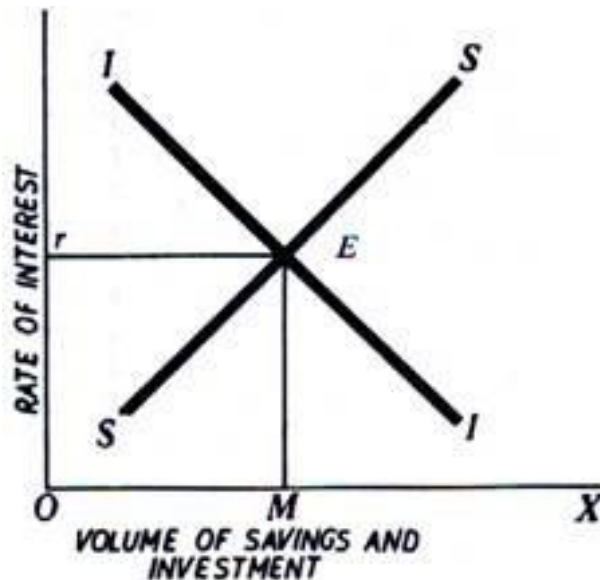
A

$$\begin{aligned} \text{Dep Ex} &= \frac{\text{Cost} - \text{Rv}}{\text{Estimated life}} \\ &= \frac{50,000 - 2,000}{10} \\ &= 4,800 \end{aligned}$$

36) According to the classical theory of interest rates, the rate of interest is determined by:

- A) The intersection of demand and supply of savings
- B) The supply of and demand for money
- C) The demand for and supply of credit (loanable funds)
- D) The new and unexpected information in the market.

C



Rate of Interest
Fig. 34.2

Classical Theory It emphasizes the concept of "loanable funds," which represents the pool of savings available for investment.

Higher demand for these loanable funds (businesses wanting to borrow) would push interest rates up.

Conversely, higher supply of savings (people willing to lend) would push interest rates down.

37) Identify the correct statement from the given alternatives.

- A) Fair value refers to the price that would be received to buy an asset.
- B) Fair value refers to the price that would be paid to transfer an asset.
- C) Fair value refers to the price that would be received to sell an asset.
- D) Fair value refers to the price that would be paid to buy an asset.

• **Fair value** represents the estimated market price at which an asset could be exchanged between a willing buyer and a willing seller in an arm's length transaction.

C

• The focus is on the price the seller would receive for the asset, not the price the buyer would pay.

38) If call phone company bought a car manufacturing company, that would be an example of

- A) Diagonal combination
- B) Horizontal combination
- C) Vertical combination
- D) Circular combination

D

- 1) Horizontal combination:** A horizontal combination will occur when companies in the same industry join together under single management and are in the same phase of the supply chain. For example, a burger chain acquirers another burger chain to increase the number of stores and presence in the community.
- 2) Vertical combination:** Vertical combinations are describes when the combination of companies that are in different stages of the production process. For example, a burger chain might be a company that supplies burger products to a number of different burger store brands.
- 3) Circular combination (Coagulometry) :** A circular combination is a business combination of companies that are engaged in different businesses and those producing different products. For example, if a cell phone company bought a car manufacturing company, that would be an example of a circular combination.
- 4) Diagonal combination:** Diagonal combinations are considered those in which a company that produces the primary good combines with a company that providers ancillary support for that primary activity.

39) The Home Office shipped merchandise costing birr 10,000 to Branch B and paid freight costs of birr 500. Subsequently, the Home Office instructed Branch B to transfer this merchandise to Branch C. Freight costs of birr 300 were paid by Branch B, to carry out this order. In what amount investment in Branch B account to be recorded to record shipment of merchandise and payment of freight costs?

A) 10,000

B) 10,500 **B**

C) 10900

D) 10,300

Transferring Inventory by Home Office

Investment in branch B.....10500

M. Inventory10000

Cash500

Receiving Inventor by Brach B

Inventories (10000+500) 10500

Home Office 10500

B to C By Branch B

Home Office 10800

Inventories10500

Cash300

40) Which one does not determine a firm's stock price and thus its value at current time?

- A) The expected time of cash flow
- B) The cash flows the firm is expected to provide in the future
- C) The risk associated with these cash flows
- D) The firm's prior periods stock price

D

•**A, B, and C:** These factors all play a crucial role in determining a firm's stock price. Investors consider the **expected future cash flows** (both amount and timing) of the company, the **risk** associated with those cash flows (possibility of not receiving them as expected), and use a discount rate to calculate the **present value** of those future cash flows. This present value is a significant factor influencing the current stock price.

•**D) Prior Stock Price:** While past performance can sometimes influence investor sentiment, the prior stock price itself doesn't directly determine the current value. The stock market is forward-looking, and investors are primarily concerned with the company's future prospects and cash flow generation potential. The current price reflects those expectations, not necessarily what the stock price was in the past.

41) A joint arrangement in which parties have rights to the assets but not obligations for the liabilities is known as

- A) Joint venture
- B) Joint operation
- C) Joint control
- D) Sole proprietor

A

42) Joint control exists only when decisions about the relevant activities,

- A) Parties with less than 20 percent control right

B

- B) Require the unanimous consent of the parties

- C) No need to have joint control

- D) Single party is in a position to control the activity unilaterally

43) Exchange rate that measure how many units of foreign currency will be received for a unit of the domestic currency is

- A) Indirect quote
- B) Direct quote
- C) Buying rate
- D) Selling rate

•**Direct quote:** This format expresses the value of one unit of the domestic currency in terms of how much foreign currency you receive. It directly tells you how many units of a foreign currency you'll get for your home currency.

For example, a direct quote of ETB/USD 0.01785 USD means you would receive 0.01785 USDs for every 1 ETB you exchange. This directly tells you the value of your ETB in USDs.

•**Indirect quote:** This format flips the perspective and expresses the value of one unit of foreign currency in terms of the domestic currency. It tells you how much domestic currency you need to pay to get one unit of foreign currency.

B

Using the same example, an indirect quote of USD/ETB 56 Birr would mean you need to pay 56 Birr Dollars to get 1 USD.

44) The following are contents of memorandum of association according to commercial code of Ethiopia, except:

- A) Period in which company will liquidate
- B) Name of the company
- C) Business purpose and sectors
- D) Manner of distributing profits

A

45) The completeness assertion indicates that:

- A) All transactions and events have been recorded in the proper accounts.
- B) All transactions and events that have been recorded have occurred.
- C) All transactions and events that should have been recorded
- D) All transactions and events have been recorded in the correct accounting period.

C

46) Suppose you are a professional cost manager, suggests that which industry type is suitable for job order costing?

- A) Construction industry
- B) Pharmaceutical industry
- C) Sugar industry
- D) Oil industry

A

47) Suppose Mr. X wishes to determine the return on a stock he owned during 2023. At the beginning of the year, the stock was traded for Br, 1050 per share. During the year, the stock paid Br 25 per share in dividends. At the end of the year the stock was worth Br. 1,250 How much will be the annual rate of return for the stock? (Round figures to two decimal places)

• A) 20.37%

• B) 21.43%

• C) 22.73%

• D) 19.05%

B

Initial price per share (Br) = 1050

Dividend per share (Br) = 25

Final price per share (Br) = 1250

Calculation:

Total return per share: = Final price per share - Initial price per share + Dividend per share

Total return per share = Br 1250 - Br 1050 + Br 25 = Br 225

Annual rate of return: (Total return per share / Initial price per share) * 100%

Annual rate of return (%) = (Br 225 / Br 1050) * 100% = 21.43% (rounded to two decimal places)

The annual rate of return for Mr. X's stock is approximately 21.43%.

48) From the following degree of autonomy, choose the correct degree of sales agency comparing with branch?

- A) High
- B) Low
- C) Equal
- D) Moderate

B

Characteristics	Sales agency	Branch Operation
Degree of Autonomy	Low	Moderate
Accounting Entity	No	Yes
Legal Entity	No	No

49) Property, plant and equipment (PPE) are measured after acquisition at

- A) Fair value
- B) Cost or revaluation
- C) Fair value or revaluation
- D) Cost or fair value

B

An item of property, plant and equipment should initially be recorded at cost. [IAS 16.15] Cost includes all costs necessary to bring the asset to working condition for its intended use.

Measurement subsequent to initial recognition
IAS 16 permits two accounting models:

Cost model. The asset is carried at cost less accumulated depreciation and impairment. [IAS 16.30]

Revaluation model. The asset is carried at a revalued amount, being its fair value at the date of revaluation less subsequent depreciation and impairment, provided that fair value can be measured reliably.

50) Assume AB owns 80% of YZ Inc. The non-controlling interest of YZ owns 20% of the business. YZ reported birr 10 million in total revenue January 1 & March 30 of 2022. How much revenue that excluded in AB's consolidated financial statement?

- A) 22 million
- B) 20 million
- C) 2 million
- D) 18 million

Given:

Total revenue = Birr 10 million

NCI percentage = 20%

Calculation:

C

NCI's share of revenue = Birr 10 million * 20% = Birr 2 million

Therefore, the revenue excluded from AB's consolidated financial statement is **C) Birr 2 million.**

51) Which of the following is most likely to be an allocated production overhead cost to the finishing cost center?

- A) Power used on finishing cost center machines
- B) Salary of the production manager
- C) Factory rates
- D) Salary of the finishing cost center supervisor

A

•**Power used on finishing cost center machines:** This directly relates to the activities performed in the finishing department. The machines used in the finishing process consume power, and this cost can be fairly accurately allocated to the department based on machine usage or energy consumption meters.

•**Salary of the production manager:** This is a general overhead cost likely to be allocated across all production departments, not just finishing.

•**Factory rates:** This term can be vague. It might refer to a general overhead rate applied to all production departments, or it could be more specific. Without additional information, it's difficult to say definitively.

•**Salary of the finishing cost center supervisor:** While this cost is related to the finishing department, it's a direct cost associated with managing that specific department. Overhead costs are typically indirect costs that cannot be easily traced to a single product or department.

52) Which one is a market where buying and selling different currencies takes places?

- A) Capital market
 - **Capital market:** This market focuses on raising long-term capital through instruments like stocks and bonds.
- B) Derivative market
 - **Derivative market:** This market deals with financial contracts whose value is derived from underlying assets like currencies, stocks, or commodities.
- C) Money market
 - **Money market:** This market deals with short-term debt instruments like Treasury bills and commercial paper. While some currencies might be traded in the money market for short-term financing needs, it's not the main venue for foreign exchange trading.
- D) Foreign exchange market

D

53) Which of the following indicates when goods are purchased for resale by a retail company under a perpetual inventory system?

- A) Purchases on account are debited to Inventory.
- B) Purchases on account are debited to Purchases.
- C) Freight costs are debited to Freight-Out
- D) Purchases returns are debited to Purchase Returns and Allowances

A

Perpetual

InventoryXXX
Cash/APXXX

Periodic

PurchasesXXXX
Cash/APXXX

54) What does the Modigliani and Miller (MM or M&M) proposition I (no taxes) states?

- A) Individuals can duplicate the effect of leverage irrespective of the rate at which they can borrow compared to firms
- B) The value of the leveraged firm is the same as the value of the unleveraged firm
- C) It assumes that Individuals and corporations borrow at different rate
- D) Levered firms do not imply greater risk for stockholders

B

M&M Proposition I

With taxes: States that the value of a firm is independent of its capital structure even when considering corporate taxes.

However, the cost of equity capital increases with the debt-to-equity ratio due to the tax shield benefit of debt

Without taxes: States that the value of a firm and its cost of capital are not affected by its capital structure, assuming investors can borrow and lend at the same risk-free rate and markets are perfect.

M&M Proposition II

With taxes: States that the firm's cost of equity will increase more than proportionately with the debt-to-equity ratio due to the combined effect of financial risk and the diminishing tax shield benefit as debt increases.

• **Without taxes:** States that the cost of equity capital increases linearly with the debt-to-equity ratio reflecting the increasing financial risk perceived by investors.

55) One of the following regulations has been imposed on Commercial banks to protect depositors and borrowers against the risk of failure ?

- A) Entry and chartering regulation
- B) Consumer protection regulation
- C) Credit allocation regulation
- D) Safety and soundness regulation

D

•**Entry and chartering regulation:** This focuses on controlling the entry of new banks into the market and ensuring they meet minimum capital requirements. While this indirectly contributes to a stable banking system, it's not the primary focus on protecting depositors and borrowers from bank failure.

•**Consumer protection regulation:** This safeguards consumers from unfair or deceptive practices by banks. While important, it doesn't directly address the risk of bank failure itself.

•**Credit allocation regulation:** This might involve directing banks to lend to specific sectors or limit lending to high-risk borrowers. While it can impact financial stability

•**Safety and soundness regulation** aims to ensure banks maintain adequate capital levels, manage risks effectively, and have strong internal controls. These measures help prevent bank failures and protect depositors' insured funds and borrowers' access to credit. **Examples** of safety and soundness regulations include capital adequacy requirements, liquidity requirements, and risk management guidelines.

57) In applying variables sampling an auditor attempts to:

- A) Discover at least one instance of a critical deviation.
- B) Determine various rates of occurrence for specified attributes
- C) Predict a monetary population value within a range of precision
- D) Estimate a qualitative characteristic of interest

C

Variable sampling deals with quantitative data. This means it focuses on measurable characteristics that can be expressed on a continuous scale. Examples include weight, length, time, cost, or temperature.

- A) Discover at least one instance of a critical deviation:** While variable sampling can identify unusual values, its main focus is on estimating the population mean and variance, not necessarily finding a single critical error.
- B) Determine various rates of occurrence for specified attributes:** This is the domain of attribute sampling, which classifies items based on characteristics (defective/non-defective) and estimates the occurrence rate of those attributes.
- D) Estimate a qualitative characteristic of interest:** Variable sampling deals with quantitative data (measurable values). It wouldn't be used to estimate non-quantifiable characteristics like customer satisfaction or product quality (which might be qualitative).

58) The reconciling item in a bank reconciliation that will result in an adjusting entry by the depositor is

- A) NSF check

A

- B) Deposit in transit.
- C) Outstanding checks.
- D) A bank error.

59) The Commercial Code of Ethiopia which excludes founders and in kind contributors from being

- A) Elected as auditors of the company
- B) Benefits made as reward
- C) Considers the magnitude of roles played
- D) Required to bear liabilities

A

• **Article 370(1a)** of the Ethiopian Commercial Code excludes "founders and in-kind contributors" from being elected as auditors of the company. This is likely to prevent potential conflicts of interest. Since founders and contributors have a vested interest in the company's success, their objectivity as auditors could be questioned.

60) Mr. Fetene, who is an independent auditor decides to use stratified sampling method in test of detail of balance. The reason for using stratified sampling rather than unrestricted random sampling is to:

- A) Allow the auditor to emphasize larger items from the population.
- B) Reduce as much as possible the degree of variability in the overall population
- C) Give every element in the population an equal chance of being included in the sample.
- D) Allow the person selecting the sample to use personal judgment in deciding which elements should be included in the sample.

- In a test of details of balance, the auditor is often more concerned with **high-value items** in the population (e.g., large accounts receivable balances) as they have a greater potential for material misstatement.

- Stratified sampling** allows the auditor to **stratify the population** based on a relevant characteristic (e.g., account balance size).

- Then, they can select **separate samples** from each stratum, ensuring that a sufficient number of **high-value items** are included in the overall sample. This allows for a more focused and efficient audit by emphasizing the areas with higher risk.

61) In a process costing system manufacturing overhead is assigned to work in process by

- A) Job based on actual overhead costs incurred
- B) Department based on predetermined overhead rates
- C) Job based on predetermined overhead rates
- D) Department based on actual overhead costs incurred

B

- **Process costing** is used for continuous production processes

- Overhead costs are **indirect** and cannot be directly traced to individual units of production.

Predetermined overhead rates are used to allocate the estimated total manufacturing overhead cost to the work in process (WIP) inventory for each production department during a period. This is done based on a chosen activity base, such as direct labor hours or machine hours.

Predetermined overhead rate = Total estimated overhead cost / Chosen activity base
(e.g., Direct labor hours)

62) As a general rule, debt service expenditures in a Debt Service Fund are recognized

- A) When resources to be used for the repayment are made available to a Debt Service Fund
- B) When due for principal repayments but on an accrual basis for interest
- C) When the debt service payment is due. **C**
- D) In accordance with the requirements of the original bond order that specifies the basis of expenditure recognition

63) Which of the following financial data does change under alternative courses of action?

- A) Cost of new machine
- B) Depreciation on old equipment.
- C) Loss on disposal.
- D) Book value of old machine.

C

64) Which one of the following statements is correct about provision?

- A) A present obligation for which a reliable estimate of the obligation cannot be made
- B) A portion of long-term indebtedness that matures within the next fiscal year
- C) It is a liability of uncertain timing or amount
- D) A present obligation for which it is not probable that payment will be made

C

Provisions are recognized in the financial statements when a **present obligation** exists due to past events, the settlement is **probable**, but the **timing or amount** is uncertain.

65) In accordance with IFRS if the share-based payment is for goods or services other than from employees, the share based payment should be measured by reference to which of the following?

- A) The fair value of goods and services received.
- B) The carrying value of goods and services received.
- C) The carrying value of the equity instruments granted.
- D) The fair value of the equity instruments granted.

A

66) Which of the following activities is not commonly accounted for in an Internal Service Fund?

- A) Warehouse facility
- B) Self-insurance
- C) Landfill operations
- D) Central garage

C

• **Internal Service Funds (ISFs)** typically deal with providing services to **other departments within the same organization**. They recover the cost of these services through charges or billings to those departments.

• **Landfill operations** might involve external customers paying fees for waste disposal. Landfills may be operated by a governmental unit or a private company, and their charges are not necessarily limited to servicing other departments within the same organization.

67) Short-term financial assets, which are near substitute for money are traded in:

- A) Capital market
- B) Stock market
- C) Money market
- D) Bond market

C

•**Capital market:** This market focuses on raising long-term capital through instruments like stocks and bonds, not short-term assets.

•**Stock market:** While some stocks might be highly liquid and easily tradable, the stock market isn't solely focused on short-term assets. Companies can be at various stages of growth, and their stocks may represent long-term investments for some.

•**Bond market:** Bonds are debt instruments with maturities ranging from a few years to decades. While some short-term bonds exist, the bond market, in general, caters to longer-term investments.

The money market, on the other hand, deals with highly liquid and low-risk debt instruments with maturities of one year or less. These instruments act as near substitutes for cash as they can be easily converted to cash with minimal risk of price fluctuations. Examples of instruments traded in the money market include:

- Treasury bills (T-bills)
- Commercial paper
- Certificates of deposit (CDs) with short maturities
- Repurchase agreements (repos)
- Money market mutual funds

68) Under IFRS, which of the following valuation method should be used by Companies to report their inventories a each reporting date?

- A) Historical cost based method
- B) Lower-of-cost-or-market (LCM)
- C) Average cost method
- D) Lower-of-cost-or-net realizable value (LCNRV)
 - IFRS requires inventories to be measured at the **lower of cost and net realizable value (NRV)** [IAS 2 Inventories].
 - **Cost** refers to the historical cost of acquiring or producing the inventory items.
 - **NRV** is the estimated selling price in the ordinary course of business minus the estimated costs of completion and the estimated costs necessary to make the sale.
 - **LCNRV** ensures that inventories are not carried at an amount exceeding their recoverable value.

69) One of the following may not serve as a means of earning distribution to stockholders under normal circumstances?

- A) Stock dividend
- B) A target repurchase (greenmail)
- C) Cash dividend
- D) A self-tender offer Share repurchase

B

•**Stock dividend:** This is a distribution of additional shares of company stock to existing shareholders. It doesn't involve any cash outflow but increases the shareholder's ownership stake in the company.

•**Cash dividend:** This is a direct cash payment made by the company to its shareholders. It's a common way for companies to distribute profits to their owners.

•**Self-tender offer (Share repurchase):** In this scenario, the company itself repurchases its outstanding shares from shareholders, typically at a premium above the market price. This can be a way for the company to return excess cash to shareholders or reduce the number of shares outstanding.

Greenmail is a defensive tactic used by a target company to avoid a hostile takeover. In a greenmail situation, the target company repurchases a significant block of shares from the potential acquirer (often at a premium price) to induce them to abandon the takeover attempt.

70) Which one correctly matches the PI Value (Profitability index), its interpretation, and the appropriate decision that should be made

A) $PI < 1.0$ means the investment is expected to increase shareholder wealth the project should be accepted.

B) $P > 1.0$ means the proposed investment project is expected not to change shareholder wealth and the decision maker should be indifferent between accepting or rejecting the project

C) $PI = 1.0$ means the proposed investment project is expected to increase shareholder wealth and the project should be accepted

D) $P > 1.0$ means the proposed investment project is expected to increase shareholder wealth and the project should be accepted

D

71) The indirect method of statement of cash flows preparation reconciles

- A) Operations for the period with non-cash items
- B) Operations for the period with cash items
- C) Net income for the period with non-cash items
- D) Net income for the period with cash items

C

72) Which one of the followings is a proprietary fund?

- A) Permanent fund
- B) Capital projects fund
- C) Internal service fund
- D) Special revenue fund

C

72) Which one goes with aggressive current assets financing policy?

- A) Financing all fixed assets with long-term capital and part of permanent current assets with short-term nonspontaneous credit
- B) Meeting part of seasonal needs using marketable securities
- C) Permanent capital is used to finance all permanent asset requirements and also to meet some of the seasonal needs
- D) Matching assets and liability maturities

Aggressive current assets financing prioritizes maximizing return on assets by minimizing the costs associated with holding excess current assets. This strategy often involves:

C

- **Lower cash holdings:** Aggressive firms might maintain minimal cash balances, relying on short-term credit to meet immediate needs.
- **Lower inventory levels:** They might hold lower levels of inventory, balancing the risk of stockouts against the cost of carrying excess inventory.
- **Strict credit policies:** They might implement stricter credit policies to collect receivables faster, reducing the amount of outstanding accounts receivable.

73) Repairs and maintenance of investment property should be recognized

- A) In the statement of profit or loss.

A

- B) In the statement of cash flows.
- C) In the notes to the statement of financial position.
- D) In the statement of financial position.

74) Suppose that on January 1, 2021, AB Corporation purchased merchandise on account from a DE supplier at a cost of \$100,000. On January 1 2021, selling spot rate was \$1= birr 51.50. If the selling spot rate decreases in future, AB will realize a transaction:

- A) Either loss or gain
- B) Loss
- C) Gain
- D) Neither loss nor gain

C

75) What does a gain on disposal of equipment indicate?

- A) The disposal value of the equipment at the disposal date is lower than its book value.
- B) The disposal value of the equipment at the disposal date is higher than its book value

B

- C) The disposal value of the equipment at the disposal date approximates its book value
- D) The disposal value of the equipment at the disposal date is equal to its book value

76) In approving the budget a city council appropriated an amount greater than expected revenues. What will be the result of this action?

- A) Current-year expenditures will be greater than previous-year expenditures.
- B) The debits and the credits will not be equal
- C) A cash overdraft will definitely occur during the fiscal year.
- D) A debit will be made to Budgetary fund balance

D

Estimated Revenue	XXXX
Fund Balance ,.....	XXX
	AppropriationXXX

77) Which one refers the length of time between the firm's actual cash expenditures to pay materials and labor and own cash receipts from the sale of products?

D

- A) Average payback period
- B) Inventory conversion period
- C) Receivables collection period
- D) Cash conversion cycle

Cash Conversion Cycle (CCC)

$$\text{Days in inventory (DIO)} + \text{Days sales in A/R (DSO)} - \text{Days of payables outstanding (DPO)}$$



Cash Conversion Cycle

$$\text{Days Inventory Outstanding} = \frac{\text{Avg. Inventory}}{\frac{\text{COGS}}{\text{Period}}}$$

$$\text{DSO} = \frac{\text{Account Receivable}}{\text{Total Credit Sales}} \times \text{Number of Days The Period}$$

$$\text{DPO} = \frac{\text{Account Payable}}{\text{COGS}} \times \text{Number of Days}$$

78) In which of the following sources, the practice of collecting revenue given for federal government of Ethiopia

- A) Tax on income from inland water transportation.
 - B) Taxes collected on income from air, train and marine transport activities
- B**
- C) Profit and sales tax collected from individual traders.
 - D) Agricultural income tax collected from farmers not incorporated in an organization

79) In First in-first out (FIFO) method of inventory valuation, which statement is correct?

- A) The earliest goods purchased not to be recognized in determining cost of goods sold
- B) Inventory on hand will be from the most oldest purchases
- C) The most recent purchases are the first to be sold
- D) The cost of ending inventory start from the most recent purchases

D

80) In which inventory system the accounting record continuously discloses the amount of inventory, so that inventory balance will not remain the same in the accounting period?

- A) Retail inventory system
- B) Periodic inventory system
- C) Just-in-time inventory system
- D) Perpetual inventory system

D

81) Which one of the following is a public insurance company in Ethiopia?

- A) Lion insurance company
- B) Tsehay insurance company
- C) Ethiopian insurance corporation
- D) Nile insurance company

C

82) Which of the following types of legal documents and records related to the entity should the auditor examine early in the engagement?

- A) Bylaws and commercial law
- B) Corporate charter and taxation law
- C) Corporate charter and bylaws
- D) Minutes of meetings and trade law

C

Corporate charter and bylaws provide essential information for the auditor, including:

- **Entity's legal structure (corporation, LLC, etc.)**
- **Purpose and scope of business operations**
- **Capital structure (authorized shares, classes of stock)**
- **Governance framework (board of directors, shareholder rights)**
- **Restrictions or limitations on the entity's activities**

83) A non-depository financial institutions which specializes in the area such as high risk loans to small beings and customers

- A) Mutual funds
- B) Pension funds
- C) Security firms
- D) Finance companies

D

84) If a parent loses control of subsidiary, the parent

- A) Derecognizes asset and liability of former subsidiary from consolidated financial statement

A

- B) Derecognize any investment retained in former subsidiary
- C) Derecognize any amount owed by former subsidiary
- D) Derecognize any gain or loss associated with the loss of control attributable to the former controlling interest

85) Suppose on January 1 2001, Company A issues 10000 share (Birr 100 par value) of its common stock in exchange for an initial acquisition of 80% of B outstanding share it is also determined that the fair value of 100% of B net Asset at the date of acquisition is birr 1,000,000. What is the amount of goodwill or gain on bargain Purchase (negative goodwill) ?

- A) 400,000
- B) (400,000)
- C) 200,000
- D) (200,000)

C

Consideration transfer = $10,000 \times 100 = 1,000,000$

NCI = $FVNA \times 0.2 = 1M \times 0.2 = 200,000$

Total Consideration transfer = $1M + 200,000 = 1,200,000$

$1,200,000 - 1,000,000$

200,000 Which is goodwill B/C Consideration transfer > FVNA

86) During July 2015, Jimma Company incurred 3,500 hours of direct labor at an average rate of Birr 8 per hour and Birr 85,000 of manufacturing overhead costs, it produced 15,000 units, and the standard cost of its Product Y was 3 hours and the predetermined rate was Birr 6 per direct labor hour Following the formula for overhead variance, which one of the following options is the overhead variance for jimma Company?

A) Birr 5000 Favorable

B) Bir 35,000 Favorable

A

C) Birr 5000 unfavorable

D) Birr 35,000 unfavorable